



REVIVING LOST TIES: Singh and Abe 'connect' in Tokyo

are being discussed, as part of the growing relationship. The expectation is that if the Indo-US nuclear deal gets a green flag, and the Nuclear Suppliers Group's nod is taken, Japan will provide civilian nuclear reactors to India.

But unlike the adhocism of the past, both sides have now agreed to institutionalise the ties, which had earlier seen a downward spiral in the aftermath of India's nuclear tests in 1998 when Japan had imposed economic sanctions on India. But as global realignments changed and India emerged as a major counterbalancing force to China, the convergence made

was the first trilateral naval exercise by the three countries.

On the economic front, Tokyo realises that it missed out on the first-mover advantage it had of investing in India, when Suzuki came in with a joint venture with Maruti in the 1980s. Since then its neighbours like China and South Korea have raced ahead with investments to wrest a bigger chunk of the Indian market. The Japanese business was wary of India's red tapism and had a conservative approach towards investing in the country. And the figures illustrate it. Bilateral trade is close to \$6 billion (Rs 24,200 crore) compared to Indo-China trade volume of \$25 billion (Rs 1,00,600 crore). Now economic interests have been a major unifier and the two countries are in the midst of negotiations for a bilateral economic partnership agreement.

Last year alone, more than a dozen top economic delegations visited India. Diplomatic sources say in the next five years foreign direct investment worth \$3 billion (Rs 12,100 crore) is expected to be pumped into India. Japanese businessmen who are risk averse are now investing heavily in India, and the top Japanese portfolio investment was valued at ¥91.7 billion (Rs 3,100 crore) in 2006. The two countries will also have a business leaders' forum, on the lines of a similar body set up with the US.

In the multilateral arena too, India and Japan are speaking in unison. At the UN, the G-4 lobby for India's Security Council seat has been revived. The two have agreed to work closely at the ASEAN and the East Asia Summit, where India owes its seat to Japan.

But amid growing convergence, differences continue to create hurdles. On climate change, Japan wants India to lower its carbon emissions. There are differences on hi-tech trade—35 Indian companies continue to be on the blacklist of the Japanese Government. For Delhi, another concern is Tokyo's apprehensions on red-tapism in India. However, what is required is a high degree of political momentum to sustain the new-found ties. Both Abe and Singh would need to invest in the relationship in order to create a strategic partnership of the 21st century. If they miss out on a sustained engagement after a good start, it will be a win-win opportunity wasted again. ■

JAPANESE SAKE

- Japan, India, US and Australia have finalised plans to create a new quadrilateral coalition.
- Political engagement with Japan on fast track. Prime Minister Shinzo Abe is scheduled to visit in August 2007. Finance and economy ministers to be in Delhi in June.
- Nuclear technology, dual-use items are being discussed for the first time.

no longer only carry Japanese backpackers bound for the Buddhist circuit, but top business honchos and senior officials in designer suits.

What has backed the new-found love from Tokyo is hard-nosed reality. Japan and India get much of their oil supplies from the Gulf, and guarding the sea lanes to ensure safe supply is a key concern for them. Both the countries are now conducting joint patrol in the Indian Ocean to guard the sea lanes. Then there is convergence in combating terrorism, curbing piracy and expanding the economic relationship.

For India, too, building a relationship with Japan has been a priority. In fact, in the South Block, there has been a strategic shift—one of the first things that Foreign Secretary Shiv Shankar Menon did was to juggle the East portfolio, where Japan is now being directly handled by him.

Besides, India needs cutting-edge Japanese technology in a host of areas, and for the first time, even the tabooed nuclear technology and dual-use items

Tokyo realise that Delhi can be a durable partner.

Now as a part of the well-orchestrated strategy, the leaders have bilaterally pledged to hold annual summits and meetings on the sidelines of global meetings, regular meetings between key cabinet ministers on both sides, a strategic dialogue at the foreign ministers' level, and regular policy dialogue between India's national security advisor and his Japanese counterpart.

There will be closer defence cooperation including joint military exercises. Japan, which, for the first time, has a full-fledged defence ministry and wants to upgrade its self-defence forces to full-time armed forces, is seeking logistics and training support from India. Recently defence secretary and the Army Chief had back-to-back meetings, and besides joint exercises and training, India may add some defence hardware to Japan's shopping cart. India, Japan and the US conducted a joint maritime drill in the Pacific Ocean off Japan's Boso Peninsula in April. It